



Qualification Programme Examination Panelists' Report

Module A – Financial Reporting (December 2020 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

The case study questions tested the candidates' knowledge of using control as the basis for determining which entities are consolidated and the accounting treatment of the change in functional currency and change in presentation currency. The questions also asked candidates to prepare a consolidated statement of cash flows. In general, many candidates were able to prepare a proper consolidated statement of cash flows. However, most candidates were unable to properly advise on the appropriate accounting treatment in relation to change in functional currency and change in presentation currency.

Specific Comments

Question 1 – 13 marks

This question required candidates to comment on the accounting treatment of an investment in consolidated financial statements. The investment was wrongly consolidated as a subsidiary for the year ended 31 March 2020 and was wrongly recognised as a financial asset in the consolidated financial statements starting from 1 April 2020.

Performance was less than satisfactory. Not many candidates directly addressed the question and failed to comment on whether the investment should be accounted for as a financial asset in the consolidated financial statements starting from 1 April 2020. Only some candidates were able to understand the question requirements and apply their knowledge of HKFRS 10 to answer the question. Some candidates confused the power over the shareholders' meeting with the power over the board of directors. Some candidates wrongly referred to the discussion of joint control even though there was no contractual arrangement for sharing of control at all.

Question 2 – 13 marks

This question required candidates to advise on the appropriate accounting treatment in relation to the change in functional currency and change in presentation currency.

Performance was less than satisfactory. Most candidates were unable to clearly



distinguish the appropriate accounting treatment on the change in functional currency and change in presentation currency. Many candidates were unable to advise on the relevant impact to the comparative amounts.

Question 3 – 24 marks

This question required candidates to prepare a consolidated statement of cash flows.

Performance was less than satisfactory. Many candidates were able to prepare a proper consolidated statement of cash flows. However, some candidates were unable to identify the impact of deferred tax and translation difference on cash flows.

(II) Section B – Essay/Short Questions

General Comments

The questions in this section aimed to test the candidates on their conceptual understanding as well as their ability to apply their knowledge to specific situations that are commonly seen in practice.

In general, candidates were able to understand the requirements of the questions and identify the applicable standards. However, a number of candidates seemed to have difficulty with building up their arguments to arrive at the appropriate conclusions logically.

Candidates that scored full or high marks were able to present their answers succinctly in response to what was required, supporting their answers with the relevant requirements from the specific financial reporting standards with precision.

In general, performance in this section was less than satisfactory.

Specific Comments

Question 4(a)(i) – 4 marks

This question required candidates to explain the accounting of convertible bonds denominated in USD from the perspective of an issuer that has HKD as its presentation currency but USD as its functional currency.

Performance was fair. Most of the candidates were able to answer the question. Some failed to realise the fixed-for-fixed criterion was still satisfied even though the convertible bond was denominated in USD as the amount of cash exchanged for shares on conversion is fixed in the functional currency of the issuing entity.



Question 4(a)(ii) – 4 marks

This question required candidates to explain the accounting treatment of a convertible bond from the perspective of the holder.

Performance was not satisfactory. Most of the candidates failed to articulate that the holder needs to apply HKFRS 9 *Financial Instruments* to the instrument in its entirety.

While some candidates mistakenly assumed that the accounting treatment would mirror that from the perspective of the issuer, many wrongly applied HKFRS 9 para. 4.1.2A and para. 5.7.5 to assess whether the convertible bond should be measured at fair value through other comprehensive income when the instrument was not an equity instrument and it also failed the “SPPI test”.

Question 4(b) – 6 marks

This question required candidates to apply HKAS 24 *Related Party Disclosures* (“HKAS 24”) to determine whether the three entities concerned were related parties to the reporting entity. Performance was fair.

Most of the candidates were able to conclude whether the three entities concerned were related parties. However, some candidates wrongly concluded that the entities were related parties simply because they were joint venture partners. Many candidates too quickly jumped to the conclusion that by being brothers, the individuals concerned automatically become close family members under HKAS 24. There was actually no indication in the case as to whether they were dependent. Some candidates seemed to have spent much time in copying the definitions as opposed to building their arguments based on the standard’s requirements.

Question 5(a) – 8 marks

This question required candidates to analyse whether certain costs incurred should be included in the cost of inventories under HKAS 2 *Inventories*. Overall performance was satisfactory.

Question 5(b)(i) – 8 marks

This question required candidates to form a view as to whether a manufacturer (“ALL”) should recognise revenue based on gross amount of sales or merely the margin using the given facts.

Performance was not satisfactory. In such a scenario, it is important to identify the performance obligation which is related to the business model of the arrangement, i.e., whether ALL is selling the furniture as a manufacturer or whether it is merely providing assembly, testing, and packaging services to GLD. Almost none of the candidates were able to step back to consider the big picture and ended up merely slotting the facts under the various indicators. This approach may have limited the candidates’ thinking in dealing with Question 5(b)(ii).



Many candidates did not analyse the case based on all the facts provided and merely extracted a few lines to support their views.

A few candidates did not read the requirements carefully and performed their analysis on the wrong party.

For those that managed to quote the principles to be applied, some arrived at a conclusion that contradicted their analysis.

Question 5(b)(ii) – 5 marks

This question required candidates to advise on further factors that they could think of in order to arrive at a more solid conclusion in Questions 5(b)(i) on whether the manufacturer should recognise revenue on a gross or net basis.

Performance was unsatisfactory. Most candidates did not take a full view of ALL's role in the arrangement and hence were unable to imagine beyond the facts given what could be at play for such a business arrangement. Accordingly, very few were able to provide valid points to address the question.

Question 6(a)(i) – 5 marks

This question required candidates to comment on management's view of the period over which the leasehold improvement should be depreciated.

Performance on this question was fair. Many were able to identify when depreciation should commence/end. However, it appears that a number of candidates forgot to address management's comments when the question asked for an evaluation.

Some candidates seemed to have misread the question and discussed the accounting treatment of right-of-use assets as opposed to the leasehold improvement.

Even though the question was relatively straightforward, some candidates did not attempt this question, which may have been due to inadequate time management.

Question 6(a)(ii) – 3 marks

This question required candidates to comment on management's proposed accounting treatment when there is damage to the leasehold improvement that is expected to be covered by compensation payments.

Performance on this question was not satisfactory. Few candidates addressed management's comments as required in the question and only a few candidates were able to answer the question correctly. Some candidates assumed the compensation payment to be virtually certain but that was not substantiated in the fact pattern.



Question 6(b) – 7 marks

This question required candidates to prepare the double entries, as applicable, in respect of the leasehold improvements and the insurance compensation for the fiscal year.

Although candidates in general were able to set out the entries required, many lost marks due to calculation errors.

(III) Conclusion and Recommendation

Overall, the performance of the candidates was less than satisfactory.

Candidates are reminded to read the questions carefully and address what is being asked. In addition to the conclusions made, it is also important to demonstrate an understanding of how the answers are being arrived at. For open-ended questions, candidates are advised to consider also the full picture or the economics of the transactions.

Candidates are reminded to make a reasonable attempt to answer each part of the question and to be aware of potential calculation errors.